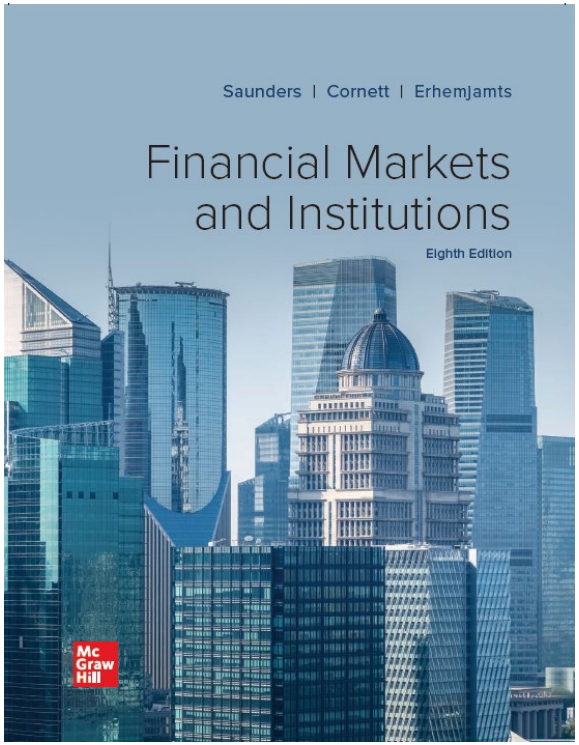
Chapter One

Introduction



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Learning Goals

- Differentiate between primary and secondary markets
- Differentiate between money and capital markets
- Understand the concept of foreign exchange markets
- Understand the concept of derivative security markets
- Recognize that markets are become increasingly global

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Why Study Financial Markets and Institutions?

- Markets and institutions are primary channels through which capital is allocated in our society
  - Investment and financing decisions require managers and individual investors to understand the flow of funds throughout the economy
  - Managers and individuals must also understand the operation and structure of domestic and international financial markets

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Financial Markets

- Financial markets are structures through which funds flow
- Financial markets can be distinguished along two major dimensions:
  - Primary versus secondary markets
  - Money versus capital markets

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Primary versus Secondary Markets

- **Primary markets**
  - Markets in which users of funds (e.g., corporations) raise funds through new issues of financial instruments, such as stocks and bonds
  - Include issues of equity by firms initially going public, referred to as ***initial public offerings (IPOs)***
- **Secondary markets**
  - Markets that trade financial instruments once they are issued

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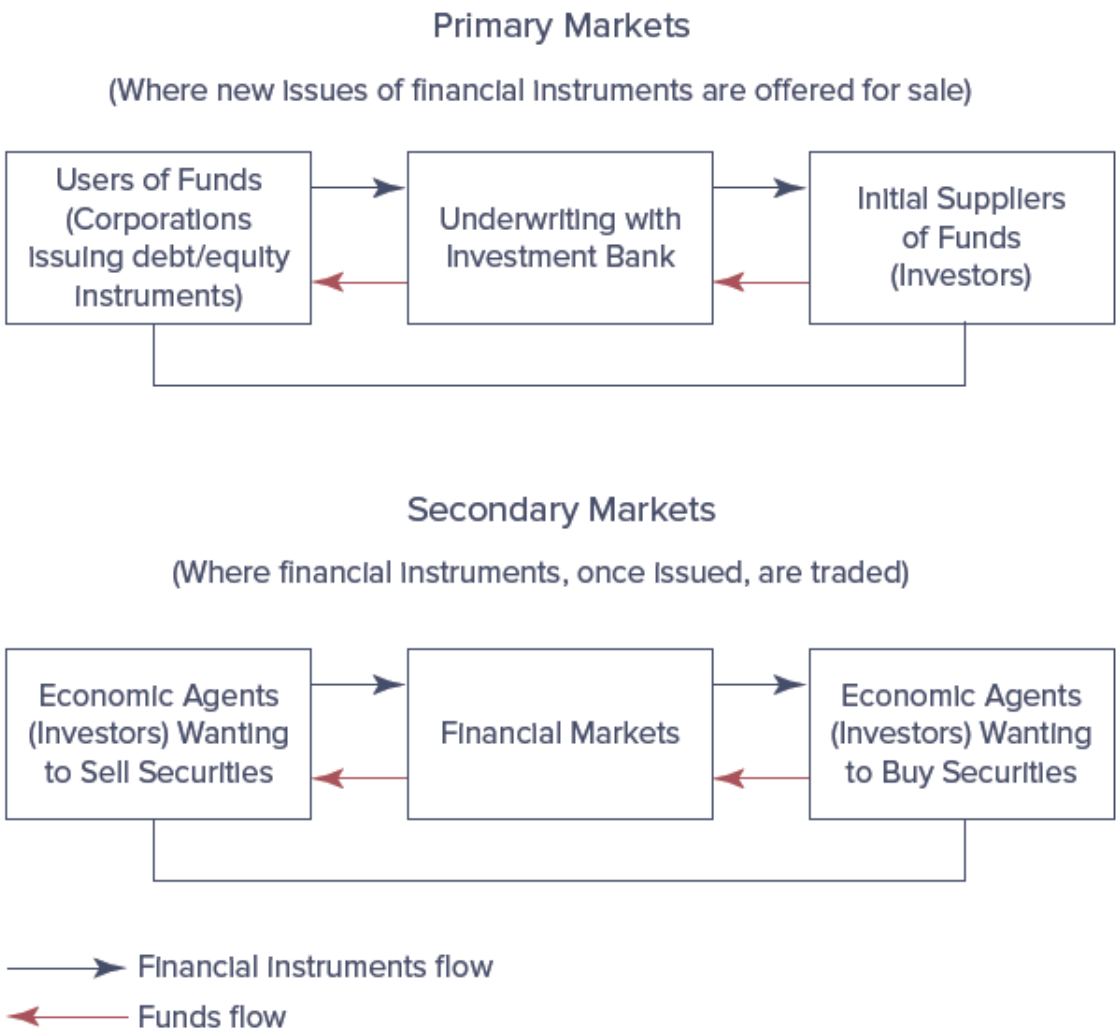
Primary and Secondary Market Transfer of Funds Time Line



Primary versus Secondary Markets (Continued)

- How were primary markets affected by the financial crisis?
- Secondary markets offer the following:
  - Liquidity, or the ability to turn an asset into cash quickly at its fair market value
  - Information about the prices or the value of investments
  - Trading with low transaction costs

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Money versus Capital Markets

- Money markets trade debt securities or instruments with maturities of one year or less
  - Most U.S. money markets are ***over-the-counter (OTC) markets***
- Capital markets trade debt (bonds) and equity (stocks) instruments with maturities of more than one year
  - Wider price fluctuations than money market instruments

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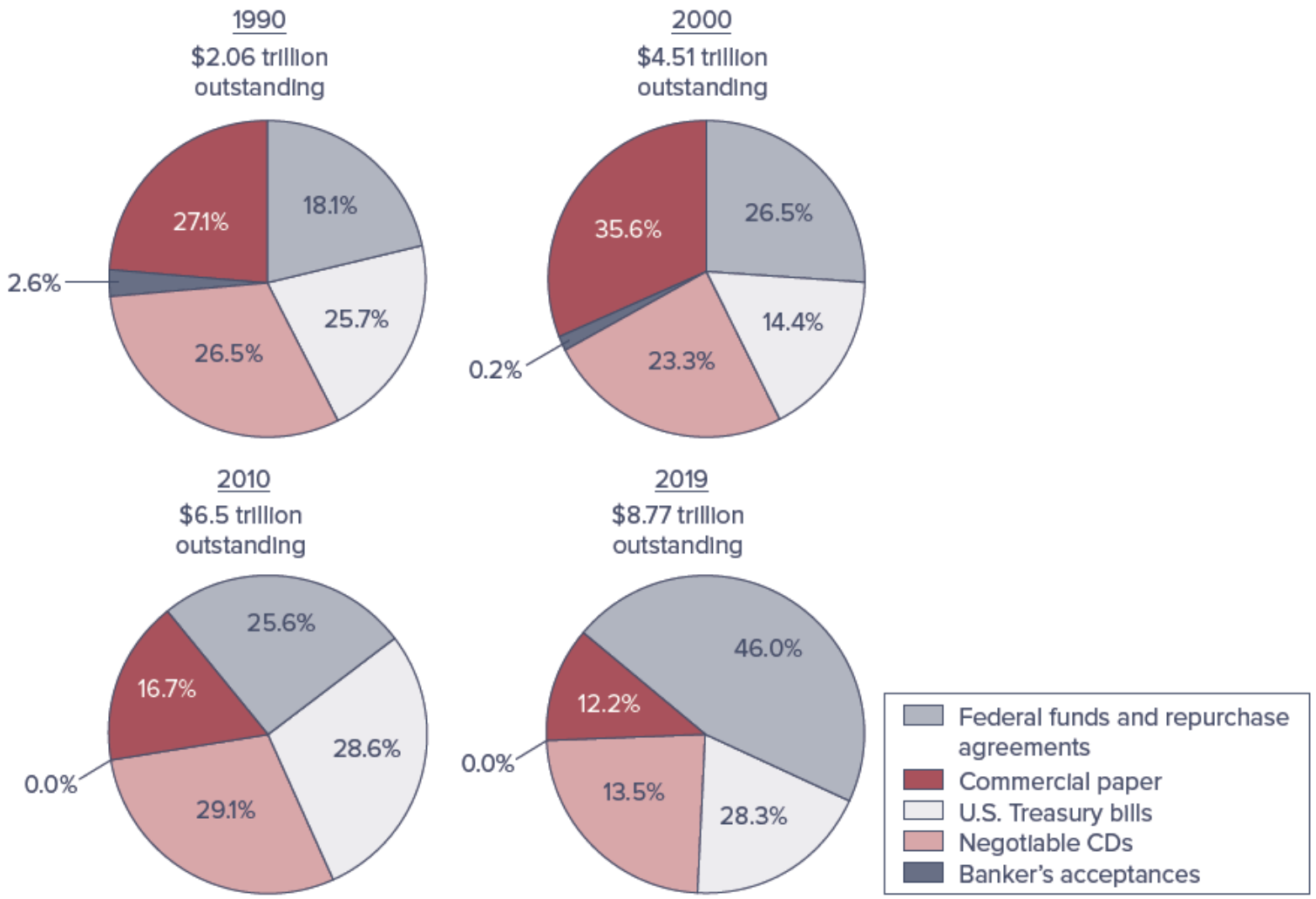
Money Market Instruments Outstanding



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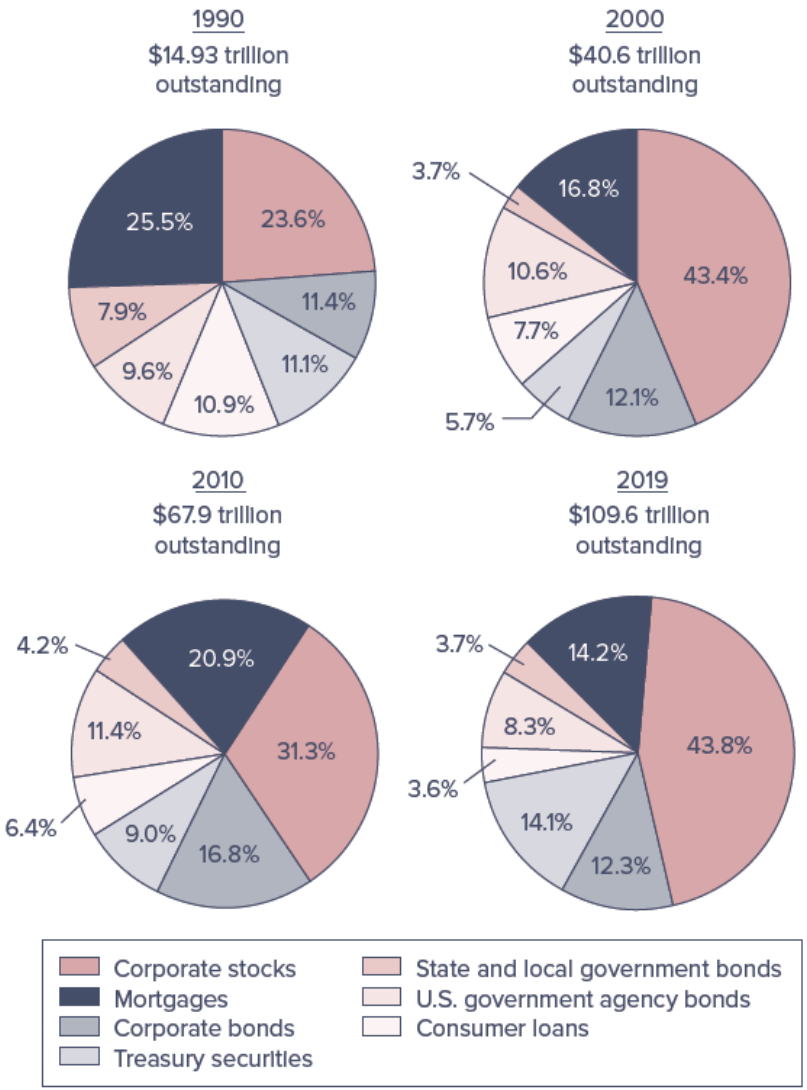
Capital Market Instruments Outstanding



Foreign Exchange Markets

- *Foreign exchange risk* is the sensitivity of the value of cash flows on foreign investments to changes in the foreign currency's price in terms of dollars
  - U.S. dollars received on a foreign investment depends on the exchange rate between the U.S. dollar and the foreign currency when the nondollar cash flow is converted into U.S. dollars

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Derivative Security Markets

- A **derivative security** is a financial security (e.g., future, option, swap, or mortgage-backed security) whose payoff is linked to another, previously issued security, such as a security traded in capital or foreign exchange markets
  - Derivatives are traded in **derivative security markets**
  - Generally involves agreement between two parties to exchange a standard quantity of an asset or cash flow at a predetermined price and at a specified future date
  - Derivative markets are the newest of financial security markets and are also potentially the riskiest security

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Derivative Security Markets (Continued)

- Derivative activity:
  - Tremendous growth between 1992-2013
  - Large drop from 2013 to 2019, due largely to the 2014 implementation of the Volcker Rule

TABLE 1–4 Derivative Contracts Held by Commercial Banks, by Contract Product
(in billions of dollars)

	1992	2000	2008	2013	2016	2019
Futures and forwards	$4,780	$ 9,877	$ 22,512	$ 45,599	$ 35,685	$ 46,165
Swaps	2,417	21,949	131,706	138,361	107,393	106,837
Options	1,568	8,292	30,267	33,760	30,909	44,134
Credit derivatives	—	426	15,897	13,901	6,986	4,145
Total	$8,765	$40,544	$200,382	$231,621	$180,973	$201,281

Note: Em dashes represent values that are too small to register.
Sources: Office of the Comptroller of the Currency website, various dates, www.occ.treas.gov

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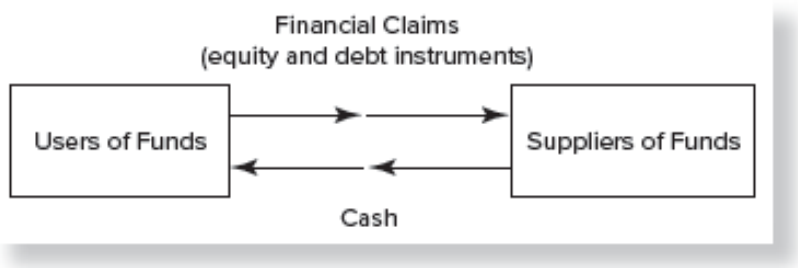
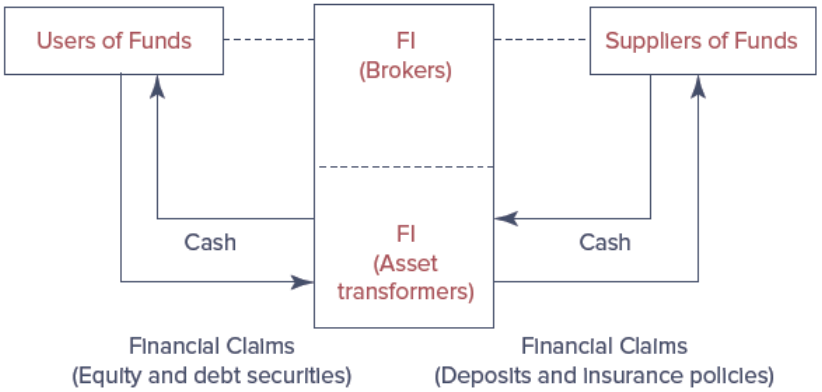
Flow of Funds

Flow of Funds in a World without FIs



Flow of Funds in a World with FIs



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Fintech

- Financial technology, or fintech, refers to the use of technology to deliver financial solutions in a manner that competes with traditional financial methods
  - Includes services such as cryptocurrencies (e.g., bitcoin) and blockchain
  - Fintech risk involves the risk that fintech firms could disrupt business of financial services firms in the form of lost customers and lost revenue
  - Supports models of peer-to-peer mass collaboration

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Globalization of Financial Markets and Institutions

- U.S. markets are the world's largest, but international markets have seen rapid growth in recent years as a result of various factors:
  1. Pool of savings in foreign countries has increased
  2. International investors have turned to U.S. and other markets to expand their investment opportunities
  3. Information on foreign investments and markets is now more accessible and thorough
  4. Some U.S. FIs offer their customers opportunities to invest in foreign securities and emerging markets at relatively low transaction costs

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Globalization of Financial Markets and Institutions (Continued)

- U.S. markets are the world's largest, but international markets have seen rapid growth in recent years as a result of various factors:
  5. The euro is having a notable impact on the global financial system
  6. Economic growth in Pacific Basin countries, China, and other emerging countries has resulted in significant growth in their stock markets
  7. Deregulation in many foreign countries has allowed international investors greater access and allowed the deregulating countries to expand their investor base

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